

# Product Requirements Document

## Early-Tenure Retention Trigger

*Subscription retention feature — generic PM portfolio project*

### 1. Overview

This document specifies a retention feature for subscription businesses with a month-to-month contract option. It targets the highest-churn customer segment identified in the accompanying Churn Driver Analysis: new, month-to-month customers who have not adopted a support add-on. The analysis and impact model referenced throughout are built on the IBM Telco Customer Churn dataset (7,043 customers) as a stand-in for a company's live customer base.

### 2. Problem Statement

Across the analyzed customer base, overall churn is 26.5%. That number hides a much sharper problem: customers who are (a) on a month-to-month contract, (b) within their first 6 months of tenure, and (c) have not adopted a Tech Support add-on churn at 65.7% — nearly 2.5x the overall rate, and the single highest-churn segment in the data. This segment is 966 customers, generating \$63.3K/month in revenue that is disproportionately at risk in the first 6 months of the relationship, before most retention programs typically engage.

There is currently no proactive intervention aimed specifically at this window. Retention efforts, where they exist, tend to be reactive (triggered by a cancellation request) rather than preventive (triggered by risk signals present at signup).

### 3. Goals and Non-Goals

#### Goals

- Reduce churn within the target segment (month-to-month, tenure 0-6mo, no support add-on) by proactively addressing the support gap correlated with high churn.
- Validate, via a pilot, whether a low-cost outreach + trial intervention measurably shifts churn in this segment before committing to a full rollout.
- Establish a repeatable, rules-based trigger that Sales/Success can act on without manual segment-hunting.

#### Non-Goals

- This feature does not address churn drivers outside the target segment (e.g., long-tenure customers, two-year contract customers, or fiber-specific pricing complaints).
- This is not a discounting or pricing feature — the intervention is a service/support trial, not a price concession.
- This does not replace reactive cancellation-flow retention offers, which remain a separate workstream.

### 4. Feature Logic

The feature is a rules-based trigger, not a model-scored trigger, to keep the first version simple and auditable:

- Trigger condition: Contract = Month-to-month AND Tenure between 30-45 days AND TechSupport = No AND OnlineSecurity = No.
- Action: Customer Success queue receives a flagged record; agent places a proactive check-in call and offers a free 30-day trial of the TechSupport and/or OnlineSecurity add-on.
- Suppression: Customers who have already received a retention outreach in the prior 30 days, or who are in an active support ticket, are excluded to avoid contact fatigue.

- Post-trial: If the customer does not convert to a paid add-on after the 30-day trial, no further automated retention action is taken under this feature — they fall back into standard lifecycle marketing.

Why a support add-on and not a discount: the underlying driver data shows customers with TechSupport churn at 15.2% vs. 41.6% without it — a 63.6% relative reduction. Correlation is not causation (customers who self-select into support add-ons may already be more engaged), so this is treated as a directional signal to test, not a guaranteed causal effect — see Risks.

## 5. Success Metrics

| Metric                           | Definition                                                                                 | Target (Pilot)                                  |
|----------------------------------|--------------------------------------------------------------------------------------------|-------------------------------------------------|
| Adoption rate                    | % of triggered customers who engage with the outreach or accept the trial                  | ≥ 40%                                           |
| Segment churn rate (post-launch) | 90-day churn rate for triggered customers vs. a held-out control group in the same segment | Statistically significant reduction vs. control |
| Trial-to-paid conversion         | % of trial customers who convert to a paid TechSupport/OnlineSecurity add-on               | ≥ 20%                                           |
| Cost per retained customer       | Total intervention cost ÷ customers retained                                               | < 1 month of that customer's ARPU               |

## 6. Requirements

### Functional

- Nightly batch job flags customers meeting trigger criteria and pushes to the CS outreach queue.
- CS tooling surfaces the reason code ("high-churn-risk: no support add-on, month-to-month, <45 days") so agents don't need to interpret raw data.
- Trial provisioning: ability to grant a time-boxed (30-day) add-on trial that auto-expires and prompts a conversion decision.
- Suppression logic to exclude customers already contacted or with an open support ticket.

### Non-Functional

- Trigger logic must run against the customer database without degrading nightly batch SLAs.
- All outreach attempts and outcomes logged for the pilot's measurement plan (attribution back to control vs. treatment group).

## 7. Stakeholders

| Role                  | Responsibility                                                                 |
|-----------------------|--------------------------------------------------------------------------------|
| Product Manager       | Owns feature definition, success metrics, and pilot go/no-go decision          |
| Customer Success Lead | Owns outreach execution, agent scripting, and queue management                 |
| Data/Analytics        | Owns trigger logic implementation, control-group design, and pilot measurement |
| Engineering           | Owns trial provisioning/expiry logic and CS tooling integration                |
| Finance/RevOps        | Validates cost assumptions and reviews projected revenue impact                |

## 8. Rollout Plan

- Phase 1 (2 weeks): Build trigger logic and CS tooling flag; QA against historical data to confirm segment size matches analysis (966 customers in the reference dataset).
- Phase 2 (4-6 weeks): Pilot on a randomized 50% of the triggered segment, holding the other 50% as a control group; measure adoption, conversion, and 90-day churn deltas.

- Phase 3 (decision gate): If churn reduction in the treatment group is statistically significant and cost-per-retained-customer targets are met, expand to 100% of the triggered segment and reassess trigger criteria (e.g., extend to OnlineSecurity-only gaps).

## 9. Risks and Mitigations

| Risk                                                                                                      | Mitigation                                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| Correlation-not-causation: TechSupport adoption may be a symptom of engagement, not a cause of retention. | Pilot with a true control group (not just before/after) to isolate the intervention's actual effect before scaling.                         |
| Contact fatigue / negative brand perception from proactive outreach.                                      | Suppress customers with recent contact or open tickets; cap outreach frequency; monitor opt-out/complaint rate as a guardrail metric.       |
| Adoption rate assumption (40%) is unvalidated.                                                            | Treat pilot Phase 2 as the primary validation step before committing budget to full rollout; impact model is explicitly labeled first-pass. |
| CS team capacity to handle outreach volume.                                                               | Size Phase 2 pilot to current CS bandwidth; revisit staffing needs before Phase 3 expansion.                                                |

## 10. Appendix

Data source: IBM Telco Customer Churn dataset (7,043 customers, 21 attributes), via [github.com/IBM/telco-customer-churn-on-icp4d](https://github.com/IBM/telco-customer-churn-on-icp4d), originally published as an IBM sample dataset on Kaggle.

Companion artifacts: Churn Driver Analysis & Retention Feature Impact Model (Excel), Executive Memo (this project's one-pager summary).